stage for a resumption of the 'global savings glut' as emerging markets build reserves once again?

Two obvious remedies suggest themselves; less extreme monetary policies on all sides with some thought given to adverse spillover effects when setting policy, and better global safety nets to mitigate the need for countries to self-insure through reserve buffers.

MORE MODERATE POLICY

Even though we live in a world where monetary transmission is global, policy focus is local. Central banks mount a number of defences as to why they should not take full account of spillovers. One way to demonstrate the weaknesses in the usual arguments that are put forward to defend the status quo is to see how they would sound if they were used to defend QEE, that is, sustained intervention in the exchange market to keep the exchange rate competitive.

Defence 1: We are a developing country and we are mandated to support growth. Institutional constraints in enhancing productivity, and our vulnerability to sudden stops, means that a competitive exchange rate, and thus QEE, is essential to fulfilling our mandate.

Defence 2: Would the world not be better off if we grew strongly? QEE is essential to our growth.

Defence 3: We take into account feedback effects to our economy from the rest of the world while setting policy. Therefore, we are not oblivious to the consequences of QEE on other countries.

Defence 4: Monetary policy with a domestic focus is already very complicated and hard to communicate. It would be impossibly complex if we were additionally burdened with having to think about the effects of QEE on other countries.